

COMMITTEE ON EDUCATION
SENATE AMENDMENTS TO S.B. 1497
(Reference to printed bill)

1 Strike everything after the enacting clause and insert:

2 "Section 1. Section 15-382, Arizona Revised Statutes, is amended to
3 read:

4 15-382. Authorization to self-insure; pooling agreements;
5 joint agreements; trustees; liability coverage and
6 pool requirements; annual required coverage
7 information; definition

8 A. ~~The~~ A school district governing board may determine that
9 self-insurance is necessary or desirable in the best interest of the
10 district and may provide for a self-insurance program or programs for the
11 district, including risk management consultation. Any risk management
12 consultant or insurance administrator employed by a school district
13 governing board must be licensed under title 20, chapter 2, article 3 or
14 9, and ~~such~~ THE license shall be verified by the school district governing
15 board ~~prior to~~ BEFORE employment.

16 B. The school district governing board may:

17 1. Enter into intergovernmental agreements or contracts with pools
18 operated pursuant to section 11-952.01 for participation in SELF-INSURANCE
19 programs offered by public agency pools. In addition to the joint
20 purchasing of insurance or reinsurance or the pooling of the retention of
21 risks for property, fidelity and liability losses, these SELF-INSURANCE
22 programs may include the joint purchasing of health benefits plan, life or
23 disability insurance, prepaid legal insurance or the pooling of the
24 retention of their risks of losses for health, accident, life or
25 disability claims or the provision of the health and medical services
26 enumerated in section 36-2907.

27 2. Separately contract with a trustee or board of trustees that
28 provides a common self-insurance program or SELF-INSURANCE programs with
29 pooled funds and risks to more than one district, a community college
30 district formed pursuant to chapter 12 of this title or an association of
31 school districts within this state that is funded by member school
32 districts pursuant to section 15-342, paragraph 8 or a pool created for
33 and operated solely for charter schools pursuant to section 11-952.01.
34 Beginning January 1, 2010, a trustee, board of trustees or pool that
35 contracts with a school district governing board or charter school
36 pursuant to this paragraph shall comply with title 38, chapter 3, article
37 3.1, title 39, chapter 1 and section 11-952.01, subsections M and N.

38 3. Enter into cooperative procurement agreements with other
39 districts pursuant to rules adopted pursuant to section 15-213 to

1 participate in programs for either self-insurance or the joint purchase of
2 insurance.

3 4. Separately establish a self-insurance program solely for its
4 district.

5 C. If the school district governing board, either alone or in
6 combination with another school district or an association of school
7 districts in this state that is funded by member school districts pursuant
8 to section 15-342, paragraph 8, establishes a self-insurance program, the
9 governing board or an association of school districts shall place all
10 funds into a trust to be used for payment of uninsured losses, claims,
11 defense costs, costs of training designed to reduce losses and claims, the
12 cost of related employee benefits including wellness programs, life,
13 disability and other fully and partially insured group insurance plans,
14 programs that allow for participation in a cafeteria plan that meets the
15 requirements of the United States internal revenue code of 1986, costs of
16 administration and other related expenses. If a member of the governing
17 board or employee of the school district is acting as a trustee, the trust
18 shall be administered by at least five joint trustees, of whom ~~no~~ NOT more
19 than one may be a member of the governing board and ~~no~~ NOT more than one
20 may be an employee of the school district. Funds budgeted for
21 self-insurance programs ~~shall be~~ ARE subject to district budgetary
22 requirements, including ~~but not limited to~~ the requirements that the funds
23 be budgeted within the maintenance and operation section and the budget
24 limitation on increases as prescribed in section 15-905. The funds, ~~upon~~
25 ON being placed in the trust, ~~shall~~ DO not lapse at the close of the
26 fiscal year, except that any cash balance remaining after termination of
27 the SELF-INSURANCE program and settlement of all outstanding claims shall
28 be used for reduction of school district taxes for the budget year. The
29 trustees of the trust must be bonded, a stop-loss provision must be
30 incorporated in the trust agreement, and an annual audit must be performed
31 by a certified public accountant and a copy of the report kept on file in
32 the district office for a period of ~~not less than~~ AT LEAST five years.

33 D. If the self-insurance is for liability losses, excess liability
34 coverage or reinsurance must be obtained as follows:

35 1. For a single school district, the coverage may include an annual
36 aggregate limit of ~~no~~ NOT more than ~~three million dollars~~ \$3,000,000 and
37 the maximum retention per occurrence shall be one-half of one ~~per cent~~
38 PERCENT of the district's maintenance and operation budget.

39 2. For a pool, the coverage may include an annual aggregate limit
40 set by the pool and the maximum retention per occurrence shall not exceed
41 one-half of one ~~per cent~~ PERCENT of the combined maintenance and operation
42 budgets of the districts in the pool.

43 E. IF A SCHOOL DISTRICT GOVERNING BOARD ESTABLISHES A
44 SELF-INSURANCE PROGRAM PURSUANT TO THIS SECTION AND THE SCHOOL DISTRICT
45 EMPLOYS AT LEAST THREE HUNDRED EMPLOYEES, THE SCHOOL DISTRICT GOVERNING
46 BOARD SHALL OBTAIN QUOTES FOR COVERAGE AND SERVICES FROM AUTHORIZED
47 SERVICE PROVIDERS AT LEAST ONCE DURING EVERY THREE-YEAR PERIOD TO
48 DETERMINE WHETHER COMPARABLE COVERAGE AND SERVICES ARE AVAILABLE AT A MORE
49 FAVORABLE PRICE. A SCHOOL DISTRICT GOVERNING BOARD MAY NOT RENEW COVERAGE

1 OR SERVICES FROM ANY PERSON THAT FAILS TO PROVIDE TIMELY, ACCURATE AND
2 COMPLETE INFORMATION AS REQUIRED BY SUBSECTION F OF THIS SECTION.

3 F. AT LEAST SIXTY DAYS BEFORE THE END OF THE CURRENT BENEFIT
4 PROGRAM YEAR, EACH TRUST, INSURER, THIRD-PARTY ADMINISTRATOR, PHARMACY
5 BENEFIT MANAGER OR OTHER PERSON WHO SUPPORTS THE SCHOOL DISTRICT'S
6 SELF-INSURANCE PROGRAM SHALL PROVIDE THE FOLLOWING INFORMATION TO THE
7 SCHOOL DISTRICT IN AN ELECTRONIC, MACHINE-READABLE FORMAT:

8 1. MONTHLY ENROLLMENT COUNTS BY EMPLOYEE-ONLY AND DEPENDENT TIERS
9 FOR EACH PLAN OPTION OFFERED TO THE SCHOOL DISTRICT FOR THE TWO CALENDAR
10 YEARS THAT IMMEDIATELY PRECEDE THE CURRENT YEAR.

11 2. MONTHLY TOTAL CLAIMS PAID, DISAGGREGATED BY MEDICAL CLAIMS AND
12 PRESCRIPTION DRUG CLAIMS, FOR THE TWO CALENDAR YEARS THAT IMMEDIATELY
13 PRECEDE THE CURRENT YEAR.

14 3. A DETAILED REPORT ON INDIVIDUALS WHOSE TOTAL CLAIMS PAID EXCEEDS
15 \$50,000 FOR ANY OF THE THREE CALENDAR YEARS THAT IMMEDIATELY PRECEDE THE
16 CURRENT YEAR AND INDIVIDUALS WHOSE TOTAL CLAIMS PAID IS PROJECTED TO
17 EXCEED \$50,000 IN THE CURRENT YEAR. THE REPORT REQUIRED BY THIS PARAGRAPH
18 MUST INCLUDE ONLY DE-IDENTIFIED DATA, COMPLY WITH THE HEALTH INSURANCE
19 PORTABILITY AND ACCOUNTABILITY ACT OF 1996 (P.L. 104-191; 110 STAT. 1936)
20 AND INCLUDE THE FOLLOWING:

21 (a) THE TOTAL CLAIMS PAID FOR EACH INDIVIDUAL.

22 (b) EACH INDIVIDUAL'S DIAGNOSIS OR A DESCRIPTION OF EACH
23 INDIVIDUAL'S MEDICAL CONDITION OR CONDITIONS.

24 (c) A STATEMENT INDICATING WHETHER EACH CLAIM IS:

25 (i) COMPLETED WITH NO FURTHER HEALTH CARE SERVICES EXPECTED.

26 (ii) ONGOING WITH ADDITIONAL HEALTH CARE SERVICES EXPECTED OR
27 REQUIRED TO ADDRESS THE INDIVIDUAL'S DIAGNOSIS, MEDICAL CONDITION OR
28 MEDICAL CONDITIONS.

29 4. DETAILED PRESCRIPTION DRUG DATA FOR THE IMMEDIATELY PRECEDING
30 TWELVE-MONTH PERIOD FOR ALL ENROLLEES, INCLUDING THE FOLLOWING LINE-LEVEL
31 DETAILS:

32 (a) THE NATIONAL DRUG CODE.

33 (b) THE DATE EACH PRESCRIPTION WAS FILLED.

34 (c) THE DRUG NAME.

35 (d) THE TOTAL DAYS' SUPPLY OF THE DRUG.

36 (e) THE METRIC QUANTITY THAT IS DISPENSED.

37 (f) THE INGREDIENT COST.

38 (g) THE DISPENSING FEE.

39 (h) THE PHARMACY PROVIDER NUMBER.

40 (i) THE AMOUNT PAID BY THE SCHOOL DISTRICT, IF ANY.

41 (j) THE AMOUNT PAID BY THE ENROLLEE, IF ANY.

42 (k) THE TOTAL AMOUNT OF REBATES RECEIVED, INCLUDING REBATES BY THE
43 DRUG MANUFACTURER AND THE METHOD OF ALLOCATION.

44 (l) THE AMOUNT OF PHARMACY BENEFIT MANAGER ADMINISTRATIVE FEES
45 PAID, IF ANY.

46 (m) ANY OTHER FEES CHARGED TO THE SCHOOL DISTRICT, INCLUDING
47 PER-CLAIM FEES, NETWORK ACCESS FEES, DATA OR CLINICAL PROGRAM FEES,
48 SPREAD-PRICING COMPONENTS AND ALL SOURCES OF PHARMACY BENEFIT MANAGER
49 COMPENSATION CHARGED TO THE SCHOOL DISTRICT.

1 (n) WHETHER PRICING IS SET ON A PASS-THROUGH OR SPREAD BASIS.
2 5. COMPLETE DOCUMENTATION FOR EACH BENEFIT PLAN CURRENTLY AVAILABLE
3 TO THE SCHOOL DISTRICT'S EMPLOYEES, INCLUDING THE FOLLOWING FOR EACH PLAN:
4 (a) SUMMARY BENEFITS AND COVERAGE.
5 (b) FULL PLAN DOCUMENTS OR BENEFIT BOOKLETS.
6 (c) PRESCRIPTION DRUG FORMULARIES.
7 (d) COST-SHARING STRUCTURES, DEDUCTIBLES AND OUT-OF-POCKET
8 MAXIMUMS.
9 6. A REPORT OF COMPREHENSIVE ELIGIBILITY CENSUS DATA FOR ALL
10 EMPLOYEES AND FOR ALL DEPENDENTS WHO PARTICIPATE IN THE SCHOOL DISTRICT'S
11 INSURANCE PROGRAM THAT IS UPDATED NOT MORE THAN SIXTY DAYS BEFORE THE
12 REPORT IS SUBMITTED. THE REPORT REQUIRED BY THIS PARAGRAPH MUST INCLUDE
13 ONLY DE-IDENTIFIED DATA, COMPLY WITH THE HEALTH INSURANCE PORTABILITY AND
14 ACCOUNTABILITY ACT OF 1996 (P.L. 104-191; 110 STAT. 1936) AND INCLUDE ALL
15 OF THE FOLLOWING FOR EACH PERSON:
16 (a) DATE OF BIRTH.
17 (b) GENDER.
18 (c) ZIP CODE OF RESIDENCE.
19 (d) COVERAGE TIER.
20 (e) SELECTED PLAN.
21 ~~E.~~ G. FOR THE PURPOSES OF THIS SECTION, "self-insurance program":
22 ~~as used in this section~~
23 1. Means programs established and wholly or partially funded by the
24 school district governing board. ~~Self-insurance programs shall~~
25 2. DOES not include a decision by the governing board not to carry
26 insurance ~~upon~~ ON a particular risk or risks."
27 Amend title to conform

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